

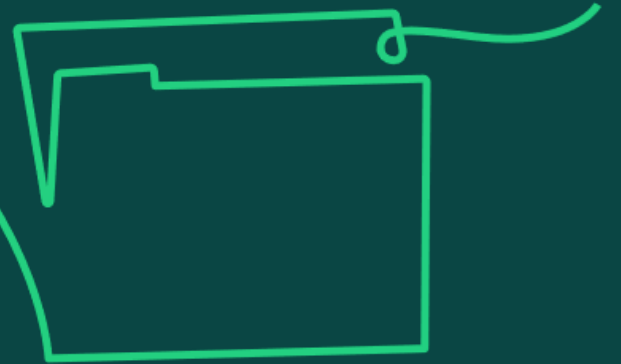
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Procurement

Learning objective:

5. Understand procurement as securing the provision of resources, choosing strategies for obtaining best value from supply chains.

5a) Understand the purpose and importance of a procurement strategy and know the typical contents of a procurement strategy.



Procurement

- Process of acquiring goods and services.
- Includes the development of a procurement strategy, preparation of contracts, selection and acquisition of suppliers, and management of the contract.
- The procurement strategy is a project document that describes the mechanics of how the project will go about procuring and subsequently managing services and goods, and it should be formulated alongside the business case.
- It may also be a component of the project management plan as there will be numerous procurement implications for the project manager throughout the life of the project. It forms a communication tool between the project manager and project stakeholders.

Make or buy decision

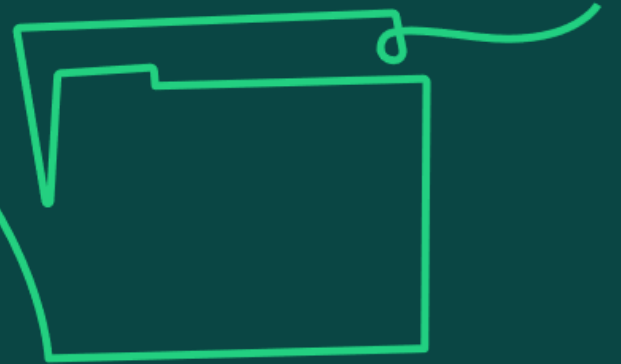
Should the goods be made in-house or could we procure them elsewhere at a lower cost or better quality?

- Understanding of the functional and technical specification required to understand the cost and time needed.
- Understanding of capacity, speed and availability as well as the benefits of specialist or technical support.
- Definition of the required quality aspirations.
- Engagement with relevant internal and external stakeholder groups.



Photo credit: Headway

5b) Know the stages of a supplier selection process, including how to plan the procurement process and conduct negotiations (for example ZOPA, BATNA and 'Win Win').



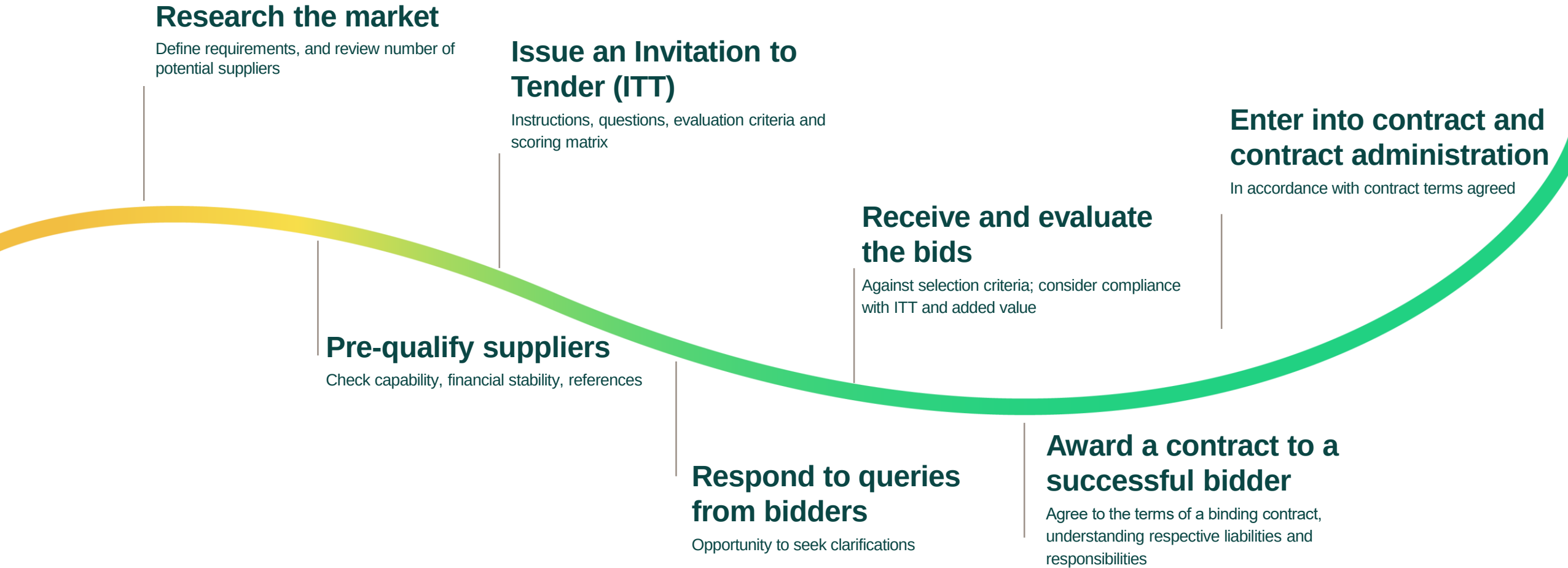
Supplier selection process

Many organisations have a specific process for selecting suppliers. There will be rules and guidelines to follow.

There may be guidelines for a competitive tender process where several suppliers are asked to submit prices for a specified piece of work in a commercially competitive manner. The objectives are to achieve best value for the price charged, and to ensure the process and selection are transparent and fair.

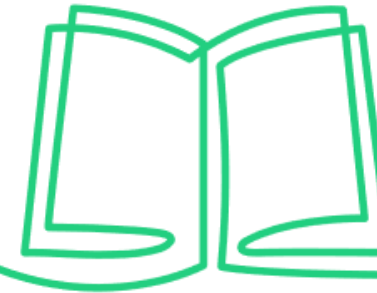
It is important that qualified resources are engaged in the process.

Tender process



Plan for negotiation

When trying to reach an agreement with a selected supplier, several negotiation techniques could be used.



BATNA

Best Alternative to a Negotiated Agreement

This is the best fallback position.

It is useful to understand this position for both parties.

ZOPA

Zone of Possible Agreement

This is the bargaining range where the lowest of the suppliers quoted price range and the highest of the customer's price range overlap.

There will be a successful outcome to the negotiation when the final agreement takes place anywhere within the ZOPA range.

'Win Win'

This is a collaborative approach.

It focuses on problem-solving and communication.

It depends on a strong trust-based relationship.

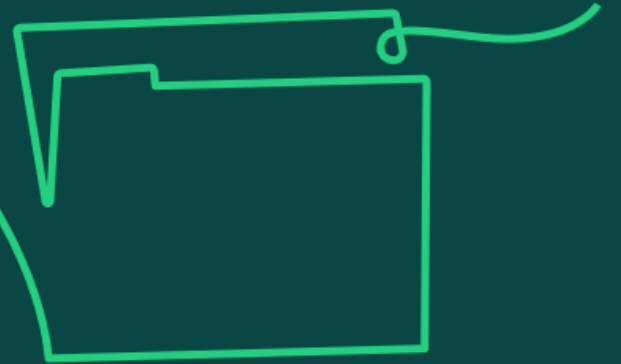
ZOPA example:

Software Suppliers Price range = £1m-£1.4m

Project Software Budget = £900k-£1.2m

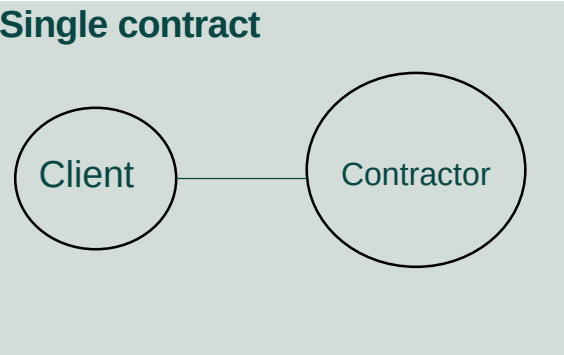
ZOPA = £1m to £1.2m

5c) Know the features of different contractual relationships and understand why different methods of supplier reimbursement are used and when it is appropriate to use them (including fixed price, cost plus fee, per unit quantity and target cost).



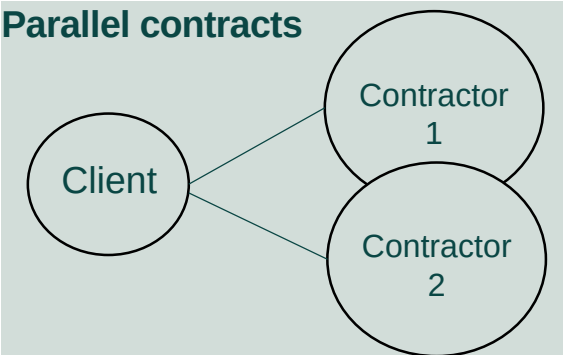
Contractual relationships

How many suppliers should we buy from? How long-term do we want the relationship to be?



Simplest form

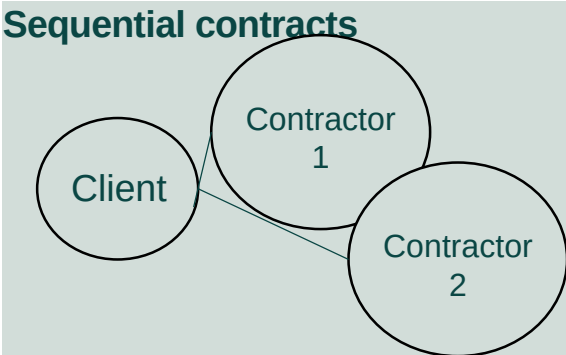
Client buys services / goods from one supplier.



Duplication or replication of work

Several different contracts where suppliers are doing related work at the same time.

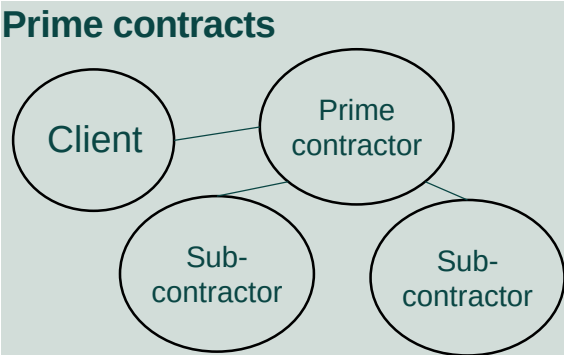
The client holds multiple contractual relationships.



Dependency between activities or work packages

Dependency of completion of one activity prior to another activity commencing.

The client holds multiple contractual relationships.



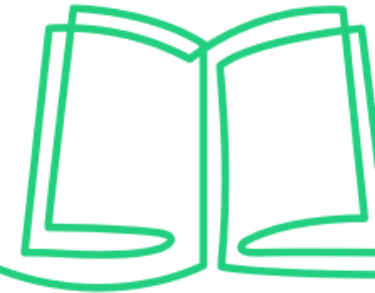
Management of sub-contracted work

The client holds one contractual relationship, but sub contractors deliver elements of the specialist work for the Prime contractor.



Pro's & Con's of single, multiple or integrated suppliers

The supplier strategy chosen will affect the cost and time required for procurement and contract negotiation, the leverage on product pricing and the level of responsiveness of the supplier(s).



Single supplier

Preferred supplier with strong existing relationship used for all requirements: preferential rates / volume pricing.

Less time and cost attached to procurement.

Risk of over-reliance on one supplier: shortages, disruption.

Multiple suppliers

Price competition between suppliers.

Reduced risk of supply shortage / disruption.

Increased cost in contract negotiations and management resource.

Integrated supplier

Integration of supplier into the project team.

Optimum service delivery through immediacy of contact, easier communications, greater transparency and understanding.

Difficulties in feeding back issues in service or maintaining confidentiality of certain aspects of the project.

Conditions and forms of contract

- A contract is a legally binding agreement between two or more parties setting out obligations of each party.
- There should be an 'offer' made by one party, and acceptance by the other party; intention to create legal relations between the parties; consideration passing from one party to the other in return for the provision of goods or services covered by the contract; definite terms, so that it is clear as to what conditions the parties are agreeing; and legality, with only properly incorporated firms or competent persons entering into the contracts.
- Typical contract conditions should include general information, provider's responsibilities in terms of design and subcontracting, time, quality, payment, dealing with change, compensation or risk, property ownership, insurances and dispute resolution.
- Specialist advice should be sought by the project team in relation to amending, drafting and agreeing contracts so that level of risk exposure and legal ramifications are clearly understood.
- Bespoke forms of contract can be drafted to apply to specific projects or procurement requirements.
- Standard forms of contract in engineering and construction are the Joint Contracts Tribunal (JCT) and the New Engineering Contract (NEC), which have established best practice and are industry recognised.

Supplier reimbursement terms

The decision about which reimbursement approach is selected is often based on level of risk and how this risk is apportioned between the parties. It can also depend on the level of maturity of scope development and understanding of what is required.

